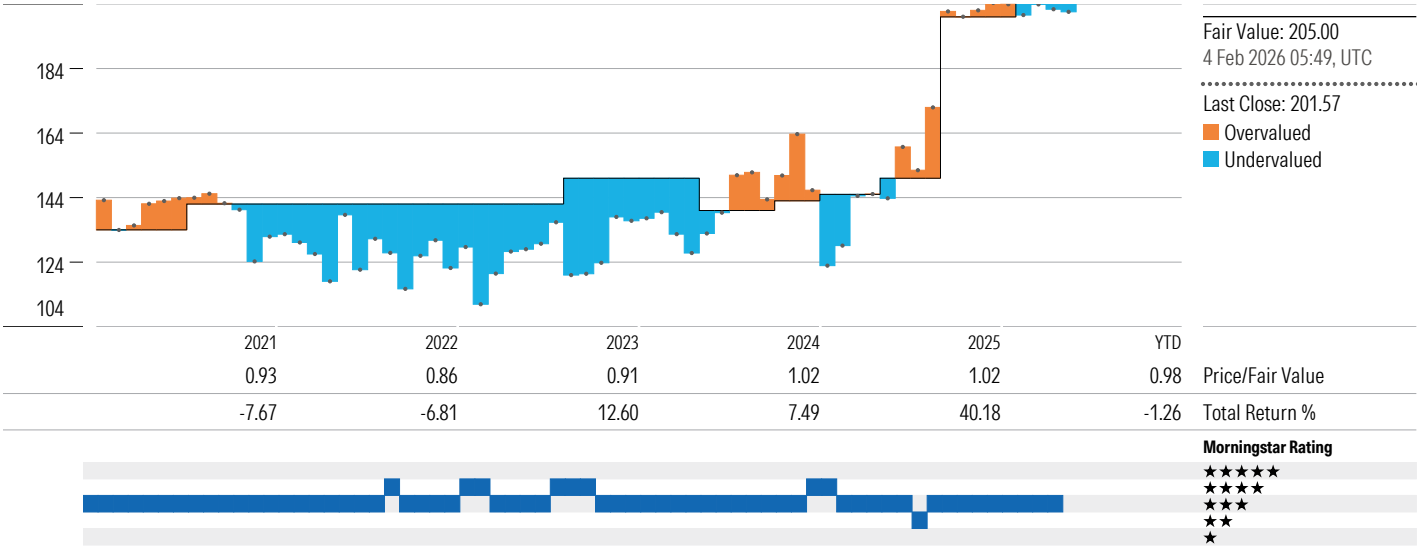
Electronic Arts Inc EA ★★★ 5 May 2026 22:17, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
201.57 USD 5 May 2026	205.00 USD 4 Feb 2026 11:49, UTC	0.98	50.44 USD Bil 5 May 2026	Narrow	Mid Blend	Medium	Standard	 5 May 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	0.93	0.86	0.91	1.02	1.02	0.98	Price/Fair Value
	-7.67	-6.81	12.60	7.49	40.18	-1.26	Total Return %

Morningstar Rating

Total Return % as of 05 May 2026. Last Close as of 05 May 2026. Fair Value as of 4 Feb 2026 05:49, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Electronic Arts Earnings: Uninspiring Results Come With Scant Detail as Acquisition Looms

Analyst Note Matthew Dolgin, CFA, Senior Equity Analyst, 6 May 2026

Electronic Arts' fiscal fourth-quarter net bookings grew 3.6% year over year. As is typical, the fourth quarter did not feature major game releases in either of the past two years. Adjusted operating income was roughly flat versus last year.

Why it matters: Results are unlikely to matter to investors as long as EA's agreement to be taken private by an investor consortium, including the Saudi Public Investment Fund, closes.

- The firm has previously said the deal should close by the end of June, and it gave no update on this timeline. Its only related comment was that it has a limited number of outstanding regulatory reviews, which all parties are working diligently to complete.
- We still have full confidence that there will be no regulatory impediments. Recently, our bigger concern is that the Saudi fund will reconsider its commitment given the disruption to the global oil trade on which it relies.

The bottom line: We maintain our $205 fair value estimate. There has been no indication that the consortium-led deal will back out, and we don't expect they will, as we don't anticipate the recent oil-related disruption representing a permanent new normal.

- However, our fair value estimate no longer prices in 100% certainty that the deal closes by the end of June 2026 and simply represents slightly more uncertainty than we had previously. The market

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Electronic Arts Inc EA ★★★ 5 May 2026 22:17, UTC

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Sector
Communication Services

Industry
Electronic Gaming & Multimedia

Business Description

Electronic Arts is one of the largest global developers and publishers of video games. Its most important franchises are the Madden NFL and FC soccer games, which it releases annually. In 2024, it also relaunched its American college football game. Other major franchises include Apex Legends, Battlefield, and The Sims. Typically, about three quarters of the firm's sales are from in-game spending, with the remainder coming from initial game sales.

appears to be pricing in even less certainty on the timeline or ultimate outcome than we do, given the stock is trading at about $202, with the acquisition price of $210.

- In any event, anyone holding the stock now is merely betting on the timing or likelihood that the deal gets completed. If the deal falls through, we expect the stock to fall dramatically. Our stand-alone fair value estimate remains $160.

Business Strategy & Outlook Matthew Dolgin, CFA, Senior Equity Analyst, 6 May 2026

Electronic Arts has agreed to go private in 2026, and we expect the firm to receive the necessary regulatory approvals.

EA relies upon and specializes in sports video games much more than its peers. It holds rights to the two most popular sports video games, American football and soccer, with its Madden and Football Club franchises. Sports games are naturally released annually, corresponding to new seasons in the real leagues. Annual releases based on existing franchises require less investment in new development and regularly give EA a catalyst for new consumer spending. Games based on real leagues also require EA to secure rights and pay licensing fees.

We prefer EA's business to other video game companies, because we think its sports strategy makes results steadier and less risky. EA does not disclose how much revenue it derives from individual games, but we believe Madden and FC are typically the firm's top-selling games in years without major releases from its other franchises. According to market research firm Circana, Madden 24 and FC 24 ranked third and tenth, respectively, on the list of top-selling games in the US in 2023. We suspect FC is more popular outside the US, while Madden is less so, but North America typically makes up more than 40% of total sales.

As with nonsports games, most consumer spending now comes through in-game purchases rather than initial game sales. With these follow-on purchases, gamers can build their teams (Ultimate Teams) and play against others online. EA has also begun a slow global rollout of a social sports application, which we think holds promise considering the engagement of gamers with their Ultimate Teams and the connection between those and the actual leagues.

EA's biggest franchises outside of sports include Apex Legends, Battlefield, and The Sims. Apex Legends is free to play, so sales are solely from in-game purchases, and it often finds itself on Circana's list of games with the highest engagement. Other games should go through peaks and valleys based on the release of sequels, and we expect EA to continue working to develop new franchises. However, we expect sports to carry the company.

Bulls Say Matthew Dolgin, CFA, Senior Equity Analyst, 6 May 2026

- EA has rights to the most popular sports in gaming, allowing annual releases that

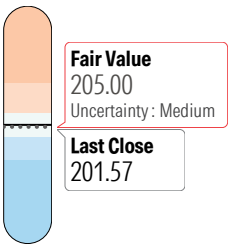
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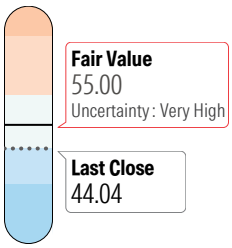
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Competitors

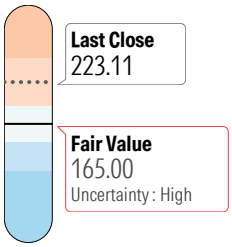
Electronic Arts Inc EA



Roblox Corp Or...ares - Class A RBLX



Take-Two Interactive Software Inc TTWO



Economic Moat	Narrow	Narrow	Narrow
Currency	USD	USD	USD
Fair Value	205.00 4 May 2026 16:23, UTC	55.00 5 May 2026 17:53, UTC	165.00 5 May 2026 17:50, UTC
1-Star Price	276.75	96.25	255.75
5-Star Price	143.50	27.50	99.00
Assessment	Fairly Valued 4 May 2026	Fairly Valued 5 May 2026	Overvalued 5 May 2026
Morningstar Rating	★★★5 May 2026 22:17, UTC	★★★5 May 2026 05:00, UTC	★★5 May 2026 05:00, UTC
Analyst	Matthew Dolgin, Senior Equity Analyst	Matthew Dolgin, Senior Equity Analyst	Matthew Dolgin, Senior Equity Analyst
Capital Allocation	Standard	Exemplary	Standard
Price/Fair Value	0.98	0.80	1.35
Price/Sales	7.03	5.96	5.99
Price/Book	8.22	74.17	11.44
Price/Earning	75.69	—	—
Dividend Yield	0.38%	0.00%	0.00%
Market Cap	50.44 Bil	31.53 Bil	41.31 Bil
52-Week Range	141.19—204.89	41.75—150.59	187.63—264.79
Investment Style	Mid Blend	Mid Growth	Mid Blend

continually prompt new sales. Adding college football back to the mix brings the potential for another major franchise.

- EA's foothold in the most popular sports gives credence and could lend success to the sports app it has developed, as that will allow gamers to engage in a social network built around the intersection between real sports and their Ultimate Teams.
- Reliable revenue streams from sports games lead to steadier and surer results and provide EA resources to invest in new development.

Bears Say Matthew Dolgin, CFA, Senior Equity Analyst, 6 May 2026

- EA's most critical franchises require continual renewal of licensing agreements from sports leagues. Failure to renew could be catastrophic, and this could also allow the leagues some negotiating leverage.
- Reviews of recent Madden updates have been lukewarm. Without more innovation, popularity, and the likelihood of renewed Madden spending year after year could wane.

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Electronic Arts Inc EA ★★★ 5 May 2026 22:17, UTC

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▶ While sports lead to steadier results, EA has fewer franchises that have shown the massive sales that other publishers have, likely leading to a lower potential ceiling.

Economic Moat Matthew Dolgin, CFA, Senior Equity Analyst, 6 May 2026

We assign Electronic Arts a narrow Morningstar Economic Moat Rating based on intangible assets and a network effect. We believe the firm's video game sports franchises and partnerships provide greater certainty that it will reliably offer games that consumers want without requiring exorbitant amounts of speculative investment in new game development. This leads to greater stability in returns on invested capital and gives us confidence that these returns, which have declined in the past two years as research and development spending has grown, will exceed the firm's cost of capital over the next 10 years.

In our view, EA's biggest advantage is its foothold with the world's most popular sports, notably soccer and American football. EA releases new editions of these sports games annually, with consumers gravitating to the new editions to find the current rosters of teams and players. While sales from initial game purchases are substantial, they are only a fraction of the size of in-game purchases, which for sports games largely consist of gamers spending to customize their own teams and upgrade to the best, most recent player capabilities. With these customized teams, which EA coins "Ultimate Teams," gamers can play against others in the EA community through EA's online matchmaking.

EA's ability to piggyback on the continuing popularity of these major sports is a huge advantage. By nature, real-life teams and sports are constantly changing, and fans' interest in these sports has been durable—and growing—over time. This gives us comfort that gamers will want to continue playing these sports as video games, alleviating the need for EA to create ways to update megafranchises or develop new franchises to retain relevance.

The franchises EA has built and the communities that have formed around these games underpin the intangible assets and network effect that we see. While it's imperative that EA retain intellectual property licensing rights for leagues and athletes, we don't think it's likely that leagues or athletes will try to withhold those rights from EA. EA's current contracts with these leagues are exclusive, but we think EA's games would remain dominant even without exclusivity. The risk to EA is that a different video game developer outbids EA for exclusive rights when the contracts are next up for renewal. We find this unlikely.

EA has been the National Football League's exclusive simulation video game partner for over 15 years through multiple contracts. We believe EA pays several hundred million dollars annually to the NFL and its players under a current agreement that runs through the 2025 NFL season. Through its existing fan base, the community it has created, and the sightline to sales that it has, EA can comfortably commit to these multiyear agreements. A competing developer would not only need to have the capital to procure

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Electronic Arts Inc EA ★★★ 5 May 2026 22:17, UTC

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the NFL license, but it would likely need to spend hundreds of millions of dollars to develop and continue iterating a new NFL video game from the ground up, and it would be taking the risk that its game can get similar uptake as EA's does.

Even if a developer wanted to create a competing American football game with NFL players, it would need the NFL to join it in taking a risk, especially if it granted exclusivity to another publisher. We're skeptical the NFL would simply take the short-term view of granting rights to the highest bidder. The league's track record is to take the long view and to promote the long-term health of its game. Not only would an unsuccessful gambit likely result in a less lucrative licensing deal upon the next renewal, but it also would conceivably lead to less engagement with the NFL by gamers.

As a global sport without a singular league, soccer is a little bit different, but we see the same advantage for EA. In soccer, EA strikes deals with individual countries' governing bodies to secure rights for national teams and players, and EA does this for nearly all of the most relevant countries' leagues. We believe competitors and those leagues would make a similar calculation that they would be unlikely to be financially successful in trying to disrupt EA's existing franchise. There is some evidence to show the durability of EA's franchise. In 2023, EA lost the rights to use the FIFA name or include the World Cup in its soccer games. FIFA is the global governing body for soccer, but does not control leagues or teams beyond the World Cup tournament. EA simply rebranded its game, and with the players and leagues it has rights to, sales for its 2024 edition remained strong. No other developer has picked up the rights to develop a World Cup game.

In calendar 2024, the firm built on its successful National Football League Madden franchise with the release of a college football game, and first-year sales were encouraging.

Beyond sports, where EA has its most differentiating niche, we don't see as strong an advantage. Still, we think the biggest video game companies with established success have advantages in launching new successful games. EA has several successful franchises, most notably The Sims, Battlefield, Dragon Age, and Apex Legends. Generally, we think EA's advantages stemming from successful games are threefold: subsequent versions of these games are likely to have a built-in consumer base from the outset, EA's reputation for developing desirable games will generate interest from gamers in new franchises, and financial success with existing games provides the resources to invest significantly in new development. These qualities give EA an edge over smaller competitors in continuing to develop successful games, but the long-term outlook and ability for financial success for nonsports games is much less predictable.

Fair Value and Profit Drivers Matthew Dolgin, CFA, Senior Equity Analyst, 6 May 2026

We maintain our $205 fair value estimate for EA, based on our near certainty that the deal will close in 2026. If the deal were to fall through, our stand-alone fair value estimate would be about $160, based on

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our operating assumptions.

We project sales growth to accelerate over the next couple of years, in large part due to a higher proportion of revenue coming from sales other than initial full-game purchases. The firm relaunched its college football game halfway through fiscal 2025, and it is gradually launching a sports social mobile app, which we are excited about, even as we don't think it can be a material contributor to revenue for the next few years. We expect annual releases of FC, Madden, and college football video games to be the main drivers behind consistent growth, and we expect a similar multiyear cadence between launches of other major franchises, like Battlefield, The Sims, and Apex Legends, the latter of which we think is due for a bigger refresh rather than one of its ongoing updates. In all, we forecast sales growth of 6% in fiscal 2026 after dropping 1% in fiscal 2025. We then project the firm to maintain a mid-single-digit average sales growth rate, on average, throughout our five-year forecast. We expect live services and other revenue, which includes in-game purchasing as well as advertising and licensing of intellectual property, to steadily rise from 73% of total sales in 2025 to 75% in 2030.

We don't project much opportunity for margin expansion, largely because we think the firm must continue redeploying a significant portion of sales to research and development. We anticipate the firm's biggest cash outlay will remain in research and development, at about 30% of sales each year. We project the firm's adjusted EBITDA margin to stay in the 36% range throughout our five-year forecast. Over the next five years, we project about 80% of adjusted EBITDA dropping to free cash flow each year, consistent with historical results.

Risk and Uncertainty Matthew Dolgin, CFA, Senior Equity Analyst, 6 May 2026

Our Morningstar Uncertainty Rating for Electronic Arts is Medium. Its primary reliance on annual releases of video games for the most popular sports results in less uncertainty than with peers. Still, a sizable portion of EA's revenue base comes from nonsports franchises. The popularity of video games, even for sequels in existing franchises, can be fickle, with no certainty that customers will enjoy new games. Without continually releasing new titles, sales will ultimately suffer. On the other hand, continuing success with intermittent sequels can keep sales growth elevated.

EA faces the risk that its licensing agreements with sports leagues and players may not be renewed. EA's licenses with the NFL and professional soccer leagues are currently exclusive. If those leagues chose to grant exclusivity to another video game publisher, EA's sales would drop precipitously. We don't think this outcome is likely because of the financial risk a competitor would take in bidding up an exclusive license without yet having a popular game, as well as the risk leagues would take by granting exclusivity to new partners. We don't think a middle ground, where EA loses exclusivity but retains rights, would be as detrimental, as we still think EA would have the dominant soccer and football games due to their existing followings.

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EA's development of a sports social application brings uncertainty to the upside. We can see an avenue for mass uptake among sports gamers and a path to advertising monetization, but we anticipate a very long road before this could be material.

We don't think there is a high environmental, social, and governance risk for EA, but as a consumer-facing company with a digital storefront, it does capture lots of sensitive personal data. This likely makes the company a target for hackers, and a sizable data breach could bring negative publicity and financial consequences.

Capital Allocation Matthew Dolgin, CFA, Senior Equity Analyst, 6 May 2026

Our Capital Allocation Rating for Electronic Arts is Standard. We expect investment in its business will drive most value creation, and we think the company is investing appropriately. However, the firm's relatively steady business for a video game company leads us to believe the firm could return more cash to shareholders.

EA's balance sheet is in exceptional shape, as it has kept a net cash position for more than a decade. However, we don't think the firm needs to maintain such a large cash position, and it could return more cash to shareholders. EA pays a modest quarterly cash dividend that has historically been covered by 5-10 times with its free cash flow, and that has resulted in a dividend yield of under 1% for the past several years. The firm initiated a $5 billion share repurchase program in May 2024 after purchasing $1.3 billion in shares during the prior two years, or about 4% of shares outstanding. The firm has bought back more than $3 billion in shares since that time, including $2.5 billion in fiscal 2025.

We think it's important in the video game industry for EA to focus on continued investment in development or acquisitions, given that the popularity of existing games is typically fleeting. However, given the stability EA has with its sports franchises, we think it can continue to invest appropriately, as it has, without needing to retain as much cash. The firm consistently invests about 30% of sales each year in research and development while continuing to generate a couple of billion dollars in free cash flow annually. Its acquisitions have typically been smaller and not transformative, which we think is prudent. We believe management continually assesses acquisition opportunities, and we think it would have the flexibility to pursue them even if its policy was to return more cash to shareholders.

Analyst Notes Archive

EA Earnings: Excellent Results as the Closing of Agreement to Be Taken Private Remains on Track

Matthew Dolgin, CFA,Senior Equity Analyst,4 Feb 2026

EA's fiscal third-quarter bookings increased 38% year over year, to over $3 billion, following the early October release of Battlefield 6. More importantly, the firm still expects its acquisition by a consortium of private investors to close during the spring of 2026.Why it matters: EA's stock price is unaffected by

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Electronic Arts Inc EA ★★★ 5 May 2026 22:17, UTC

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results, as it is trading solely based on the likelihood and price at which it is getting acquired. We estimate that the market is pricing in a very high probability, though below 100%, that the transaction gets completed. With the Saudi Public Investment Fund being the central party within the acquiring consortium, the deal faces heightened regulatory scrutiny compared with solely domestic investors. The bottom line: We raise our fair value estimate to $205 from $200, based solely on the time value of money since our last update. We are pricing in a 100% certainty that the deal closes by the end of June 2026. Considering the good relationship the Saudis have with the current administration in the US, we don't anticipate regulatory difficulty. On the merits, we see little reason why there's a danger in EA being owned by international investors. We think arbitragers can earn a double-digit annualized return from the current stock level, but that is solely based on expecting deal completion. Upside is capped, and if the deal falls through, we expect significant downside. Our stand-alone fair value estimate would be about $160. Key stats: Battlefield 6 drove the spike in sales, as the firm said this edition set the franchise record for engagement. EA Sports FC also showed strength, with high-single-digit growth, and Apex Legends grew in the double digits. The firm gave no other details about specific titles or underlying aspects of its financial results, including a lack of any mention of its American football titles, which did not have new releases during the quarter but are always critical, especially during the fall.

Electronic Arts Earnings: Mediocre Results With Few Details Given Pending Acquisition Matthew Dolgin, CFA,Senior Equity Analyst,28 Oct 2025

Electronic Arts' fiscal second-quarter bookings (cash sales) were down 13% year over year, while operating income was down almost 50%. Given the firm's pending acquisition by private investors, EA provided little color and did not hold an earnings call. Why it matters: Results don't matter to investors as long as the acquisition closes, and we don't see any likely hiccups that would prevent that. However, the uninspiring results support our view that the buyout price is well above what EA is worth on its own. The bottom line: We maintain our $200 fair value estimate, which simply reflects the present value of the $210 acquisition price and our view that the deal is certain to close next spring. On a stand-alone basis, our fair value estimate remains $150. Key stats: EA said bookings grew versus last year for the Madden and FC franchises, which released their 2026 editions in the middle and end of the second quarter, respectively. In our view, these are EA's most important titles and key reasons behind our narrow moat rating, so the growth is encouraging and a bright spot. Apex Legends returned to growth. However, success with these titles shines a light on what was probably a major cooling in College Football 26 sales with its sophomore edition. This could indicate that some of the ongoing growth dependent on this major new franchise was overly optimistic. Between the lines: The timing of video game releases makes results very choppy, but leaving aside the comparisons to last year—given the release of College Football 25—still gives pause. Second-quarter live services and other bookings, which generally make up about two-thirds of sales, were roughly flat compared to the second quarters of fiscal 2022, 2023, and 2024 (and down 10% from fiscal 2025). The firm doesn't appear to be extracting

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MORNINGSTAR®

Electronic Arts Inc EA ★★★ 5 May 2026 22:17, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
201.57 USD 5 May 2026	205.00 USD 4 Feb 2026 11:49, UTC	0.98	50.44 USD Bil 5 May 2026	Narrow	Mid Blend	Medium	Standard	5 May 2026 05:00, UTC

higher sales from in-game purchasing or other revenue streams, which are keys to our projection of durable growth.

EA: Acquisition Gives Shareholders a Big Win Matthew Dolgin, CFA,Senior Equity Analyst,29 Sep 2025

Electronic Arts has agreed to be taken private by a consortium of investors led by the Saudi Arabia Public Investment Fund for $210 per share. The firm expects the deal to be completed in its fiscal first quarter of 2027, which ends on June 30, 2026. Why it matters: The board of directors' approval of a definitive agreement and the financing the consortium has secured, including $20 billion in debt from JP Morgan, lead us to believe this deal is all but certain to close. There appears to be no opportunity for another suitor to offer a competing bid. Shareholders must approve the deal, but considering the 17% premium to the stock's all-time high set in August, we think approval is all but certain. The PIF already owns 10% of the firm and three other institutions collectively own 25%. No other shareholder owns more than 5% of the company. The size of this deal will require approval from regulators, but we don't expect difficulty. No anticompetition concerns should get in the way. The Saudi government has a good relationship with the current US presidential administration, and Jared Kushner's firm is part of the consortium. The bottom line: We are raising our fair value estimate to $200 from $150, reflecting the present value of the deal definitely closing in the spring of 2026. We assigned EA a narrow moat and like its business, with its focus on annually released sports-focused games, more than any publicly traded video game peers. However, we think the buoyant general market environment has led to a higher valuation in this deal than the firm's current operating and financial position independently justifies. Shareholders have received a big win.

EA: Leveraged Buyout Would Be a Win for Shareholders Matthew Dolgin, CFA,Senior Equity Analyst,26 Sep 2025

The Wall Street Journal reported that Electronic Arts is nearing a private equity buyout. EA's market capitalization spiked 15% on the news to almost $50 billion, the level that the WSJ's sources said EA "could be valued as much as." Why it matters: The price was only speculated upon, but EA's stock had already been trading at more than a 10% premium to our fair value estimate, so we see the additional premium as a win for shareholders. We believe that holding the stock now is based purely on speculation of what the bid will be or whether other bidders could arise, which we don't expect. The bottom line: We are maintaining our $150 fair value estimate, still based exclusively on a public valuation. Assuming little risk to deal closure if an agreement is binding and financing is secured, we'd expect to raise our fair value estimate to the takeout level if the deal is announced. We believe EA has a narrow moat, and we think it's the highest-quality firm in its industry. However, most valuations have been inflated, in our view, so we wouldn't bet on other bidders coming. Between the lines: The most likely strategic bidders, in our view, would be media firms, but they have long had an opportunity to pursue EA. Major tech firms with media units may face regulatory approval concerns. Disney and

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Electronic Arts Inc EA ★★★ 5 May 2026 22:17, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
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Warner Bros. Discovery have exposure to video games and could benefit from EA's intellectual property. EA could also make sense for newly ambitious Paramount. However, each has idiosyncratic reasons that would likely not make EA a priority or possibility on the present timeline. EA could also make sense for Netflix. However, that firm has never pursued large acquisitions, and we doubt it would see EA making sense now for more than $50 billion after it passed when EA was trading under $30 billion in the spring, without a materially different fundamental position.

EA Earnings: Fine Quarter Means Little With Big Game Launches on Deck Matthew Dolgin, CFA,Senior Equity Analyst,30 Jul 2025

Electronic Arts posted a good fiscal first quarter, but these results are not very consequential considering the critical releases and customer engagement we're awaiting over the next three quarters, which we anticipate will make up nearly 85% of the firm's bookings (cash sales) this fiscal year.Why it matters: As is seasonally common, EA did not have any major releases during the fiscal first quarter except for its annual F1 release. Management said that EA Sports games performed well, but most of those are about a year old, so the success of this summer's releases will be more telling. Total bookings grew 3% year over year. Apart from strength in EA Sports, Apex Legends and catalog games exceeded management's expectations. Heightened research and development spending and higher marketing costs in advance of this year's releases led to an operating profit of $77 million, about half of last year's result but inconsequential relative to the $2.5 billion we project for the full year. The bottom line: We maintain our $150 fair value estimate. Results over the next couple of quarters should offer better insight. Our narrow moat rating and preference for EA versus peers is largely predicated on sports franchises that EA releases in the second quarter. With most of fiscal 2026's sales and nearly 100% of its operating profit expected over the next three quarters, management maintained its full-year outlook. Coming up: College Football 26 was released on July 10, 2025, and Madden 26 is to be released on Aug. 14. With last year being the first release of a college football game in many years, we expect a sales decline this year, but the magnitude is critical. Annual success in both games is central to our forecast, and it remains to be seen if the game attracts annual interest without cannibalizing Madden. We project bookings growth and profits to jump in the fiscal third quarter with the release of Battlefield 6, for which we expect to learn a release date soon.

EA Earnings: Bounceback in FC, Broader Strength Leads to Big Guidance Beat; Battlefield Coming Soon Matthew Dolgin, CFA,Senior Equity Analyst,7 May 2025

After warning in January that sales had slowed, Electronic Arts' business materially reaccelerated. Fiscal fourth-quarter bookings (cash sales) grew 8% year over year, easily beating guidance. EA also offered an optimistic 2026 outlook and foreshadowed new title releases over the next two years. Why it matters: January's softness was largely due to weak sales in the FC soccer game, a critical franchise for EA. EA released an FC gameplay update in January and subsequently saw engagement and monetization grow

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Electronic Arts Inc EA ★★★ 5 May 2026 22:17, UTC

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by double digits. Most of EA's largest franchises are now performing well. With the addition of College Football in 2025, EA's American football franchise exceeded $1 billion in bookings in 2025, up 70%. Madden and College Football continued to perform well during the fourth quarter after their associated leagues' seasons ended. The Sims bookings grew by 30% in the fourth quarter versus the previous year. Marketing surrounding the franchise's 25-year anniversary sparked greater engagement and led to the franchise's best bookings ever for a fourth quarter. The bottom line: We're raising our fair value estimate for EA to $150 per share from $145, reversing the change we made in January. EA's core sports franchises and player engagement with them are key to our narrow moat rating and the stable growth we project. Coming up: The next notable release among nonannual franchises will be Borderlands, which EA confirmed for fiscal 2026. We now think the 2025 holiday season is a reasonable target. Management teased a summer reveal for the Borderlands release date. With Take Two last week pushing its industry-moving Grand Theft Auto VI out of the 2025 holiday window and into May 2026, we see an opening for Borderlands. EA also said it will release new nonannual titles in fiscal 2027. The firm did not mention Apex Legends as one of those titles, but the franchise has been struggling recently, and a major refresh could provide a big boost.

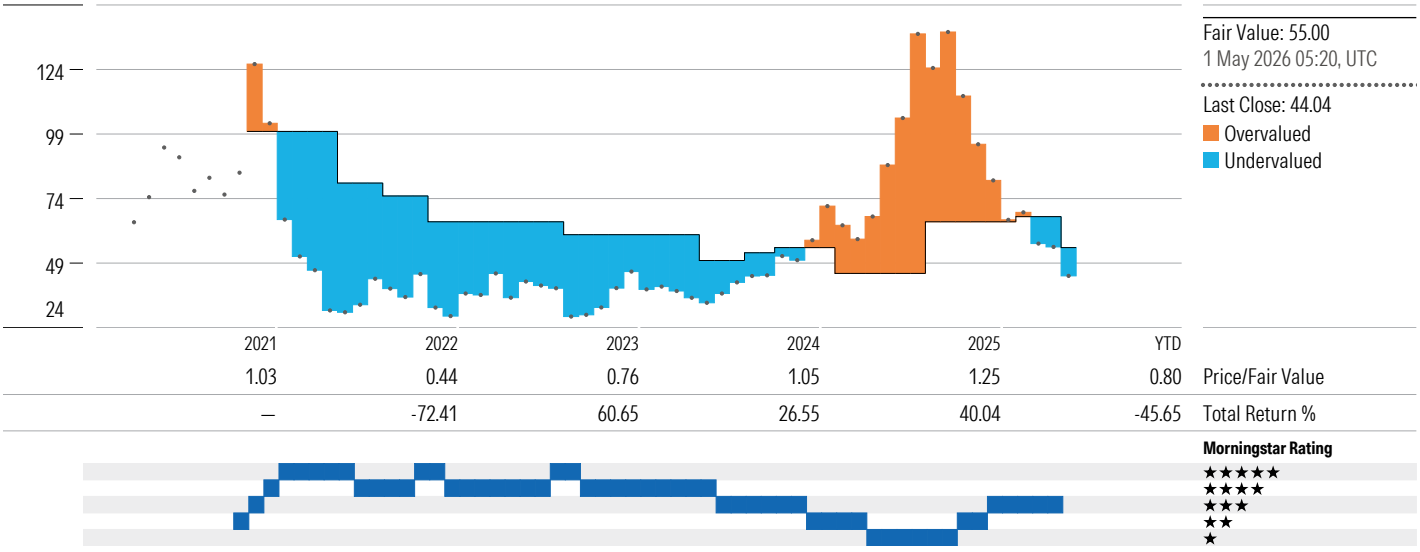
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Competitors Price vs. Fair Value

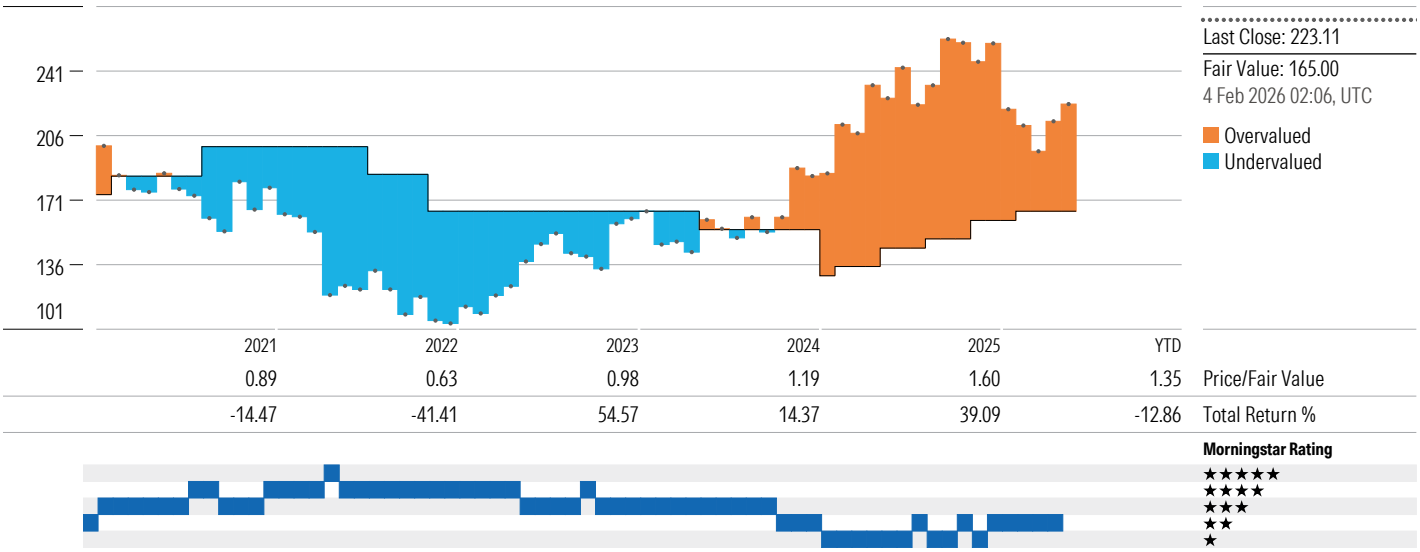
Roblox Corp Ordinary Shares - Class A RBLX



	2021	2022	2023	2024	2025	YTD	
	1.03	0.44	0.76	1.05	1.25	0.80	Price/Fair Value
	—	-72.41	60.65	26.55	40.04	-45.65	Total Return %

Total Return % as of 05 May 2026. Last Close as of 05 May 2026. Fair Value as of 1 May 2026 05:20, UTC.

Take-Two Interactive Software Inc TTWO



	2021	2022	2023	2024	2025	YTD	
	0.89	0.63	0.98	1.19	1.60	1.35	Price/Fair Value
	-14.47	-41.41	54.57	14.37	39.09	-12.86	Total Return %

Total Return % as of 05 May 2026. Last Close as of 05 May 2026. Fair Value as of 4 Feb 2026 02:06, UTC.

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Electronic Arts Inc EA ★★★ 5 May 2026 22:17, UTC

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Morningstar Valuation Model Summary

Financials as of 05 May 2026	Actual			Forecast				
Fiscal Year, ends 31 Mar	2024	2025	2026	2027	2028	2029	2030	2031
Revenue (USD Mil)	7,430	7,355	8,026	8,307	8,733	9,688	10,079	10,490
Operating Income (USD Mil)	1,580	1,577	1,162	2,523	2,297	2,596	2,701	2,811
EBITDA (USD Mil)	1,714	1,719	1,378	2,723	2,447	2,746	2,851	2,961
Adjusted EBITDA (USD Mil)	2,656	2,579	2,767	3,087	3,195	3,571	3,707	3,850
Net Income (USD Mil)	1,273	1,121	887	1,920	1,750	2,030	1,988	2,071
Adjusted Net Income (USD Mil)	2,007	1,824	2,169	2,204	2,499	2,855	2,845	2,960
Free Cash Flow To The Firm (USD Mil)	1,324	993	1,556	1,508	1,686	1,868	1,994	2,077
Weighted Average Diluted Shares Outstanding (Mil)	272	264	253	253	253	253	253	253
Earnings Per Share (Diluted) (USD)	4.68	4.25	3.51	7.59	6.92	8.02	7.86	8.19
Adjusted Earnings Per Share (Diluted) (USD)	7.40	6.90	8.57	8.71	9.88	11.29	11.24	11.70
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

Margins & Returns as of 05 May 2026		Actual			Forecast					
	3 Year Avg	2024	2025	2026	2027	2028	2029	2030	2031	5 Year Avg
Operating Margin %	18.5	21.3	21.4	14.5	30.4	26.3	26.8	26.8	26.8	27.0
EBITDA Margin %	—	23.1	23.4	17.2	32.8	28.0	28.3	28.3	28.2	—
Adjusted EBITDA Margin %	—	35.8	35.1	34.5	37.2	36.6	36.9	36.8	36.7	36.8
Net Margin %	14.5	17.1	15.2	11.1	23.1	20.0	21.0	19.7	19.7	20.7
Adjusted Net Margin %	26.3	27.0	24.8	27.0	26.5	28.6	29.5	28.2	28.2	28.2
Free Cash Flow To The Firm Margin %	16.9	17.8	13.5	19.4	18.2	19.3	19.3	19.8	19.8	19.3

Growth & Ratios as of 05 May 2026		Actual			Forecast					
	3 Year CAGR	2024	2025	2026	2027	2028	2029	2030	2031	5 Year CAGR
Revenue Growth %	3.0	1.2	-1.0	9.1	3.5	5.1	10.9	4.0	4.1	5.5
Operating Income Growth %	-7.0	9.5	-0.2	-26.3	117.1	-9.0	13.0	4.0	4.1	19.3
EBITDA Growth %	-2.4	12.4	0.3	-19.8	97.6	-10.2	12.2	3.8	3.9	21.5
Adjusted EBITDA Growth %	0.0	-3.9	-2.9	7.3	11.6	3.5	11.8	3.8	3.9	6.8
Earnings Per Share Growth %	6.7	62.2	-9.3	-17.4	116.4	-8.8	16.0	-2.1	4.2	18.5
Adjusted Earnings Per Share Growth %	6.7	20.8	-6.7	24.2	1.6	13.4	14.2	-0.4	4.1	18.5

Valuation as of 05 May 2026	Actual			Forecast				
	2024	2025	2026	2027	2028	2029	2030	2031
Price/Earning	17.9	20.9	23.8	23.1	20.4	17.9	17.9	17.2
Price/Sales	4.4	4.8	4.5	6.1	5.8	5.2	5.0	4.8
Price/Book	4.8	6.0	7.6	5.5	4.3	3.5	2.9	2.5
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	12.2	13.3	12.7	15.9	15.3	13.7	13.2	12.7
EV/EBIT	20.4	21.8	30.3	19.4	21.3	18.9	18.1	17.4
Dividend Yield %	—	—	—	—	—	—	—	—
Dividend Payout %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 05 May 2026	Actual			Forecast				
Fiscal Year, ends 31 Mar	2024	2025	2026	2027	2028	2029	2030	2031
ROA %	9.5	9.1	6.8	13.0	10.1	10.1	8.6	8.0
ROE %	16.9	17.5	13.1	20.5	14.8	13.9	11.4	10.2
ROIC %	8.9	8.1	6.8	12.9	11.4	12.9	12.7	12.5

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Electronic Arts Inc EA ★★★ 5 May 2026 22:17, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
201.57 USD 5 May 2026	205.00 USD 4 Feb 2026 11:49, UTC	0.98	50.44 USD Bil 5 May 2026	Narrow	Mid Blend	Medium	Standard	5 May 2026 05:00, UTC

Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Mar	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**
Debt/Capital %	5.2	4.9	—	2.6	2.4	2.2	2.0	1.9
Assets/Equity	1.8	1.9	1.9	1.6	1.5	1.4	1.3	1.3
Net Debt/EBITDA	-0.8	-0.2	—	-1.1	-2.2	-3.0	-3.9	-4.7
Total Debt/EBITDA	0.7	0.8	—	0.5	0.5	0.4	0.4	0.4
EBITDA/ Net Interest Expense	-37.4	-30.3	-153.7	-84.2	-36.7	-22.2	—	—

Forecast Revisions as of 6 May 2026	2027		2028		2029	
Prior data as of 3 Feb 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	205.00	205.12	—	—	—	—
Revenue (USD Mil)	8,307	8,409	8,733	8,763	9,688	9,719
Operating Income (USD Mil)	2,523	2,478	2,297	2,261	2,596	2,556
EBITDA (USD Mil)	3,087	3,127	3,195	3,162	3,571	3,534
Net Income (USD Mil)	2,204	2,272	2,499	2,508	2,855	2,861
Earnings Per Share (Diluted) (USD)	7.59	7.52	6.92	6.94	8.02	8.04
Adjusted Earnings Per Share (Diluted) (USD)	8.71	8.98	9.88	9.91	11.29	11.31
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00

Key Valuation Drivers as of 05 May 2026

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	5.8
Weighted Average Cost of Capital %	8.1
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	7.5
Stage II Investment Rate %	3.0
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 05 May 2026

	USD Mil
Present Value Stage I	7,855
Present Value Stage II	13,238
Present Value Stage III	17,750
Total Firm Value	**38,843**
Cash and Equivalents	2,864
Debt	1,485
Other Adjustments	11,500
Equity Value	**51,722**
Projected Diluted Shares	255
Fair Value per Share (USD)	**205.00**

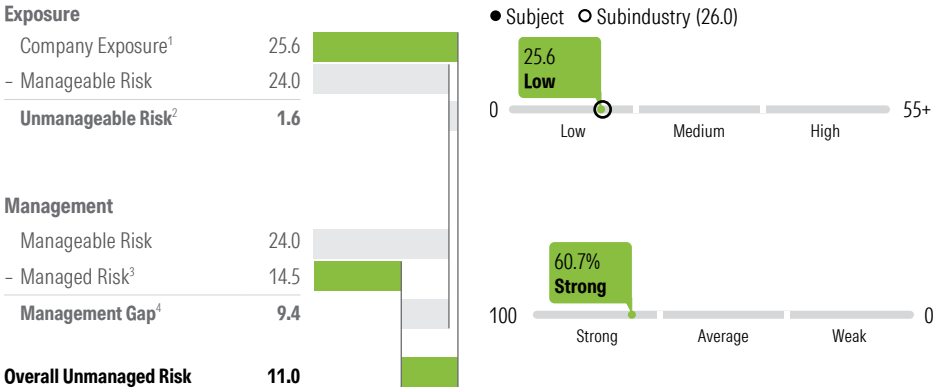
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201.57 USD 5 May 2026	205.00 USD 4 Feb 2026 11:49, UTC	0.98	50.44 USD Bil 5 May 2026	Narrow	Mid Blend	Medium	Standard	5 May 2026 05:00, UTC

ESG Risk Rating Breakdown



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating Assessment[5]



ESG Risk Rating is of May 05, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Entertainment Software. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 60.7% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 05 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Electronic Arts Inc	25.6 | Low	0	55+	60.7 | Strong	100	0	11.0 | Low	0	40+
Take-Two Interactive Software Inc	27.2 | Low	0	55+	50.3 | Strong	100	0	14.3 | Low	0	40+
Roblox Corp	29.2 | Low	0	55+	34.6 | Average	100	0	19.7 | Low	0	40+
Reddit Inc	37.7 | Medium	0	55+	24.7 | Weak	100	0	29.1 | Medium	0	40+
—	— | —	0	55+	— | —	100	0	— | —	0	40+

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Appendix

Historical Morningstar Rating

Electronic Arts Inc EA 4 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★	★★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★★★	★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

Roblox Corp Ordinary Shares - Class A RBLX 5 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★	★★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★	★	★	★	★	★	★★	★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★	—	—	—	—	—	—	—	—	—	—

Take-Two Interactive Software Inc TTWO 5 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★	★★	★★	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★	★★	★	★	★★	★	★	★	★	★	★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★

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Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

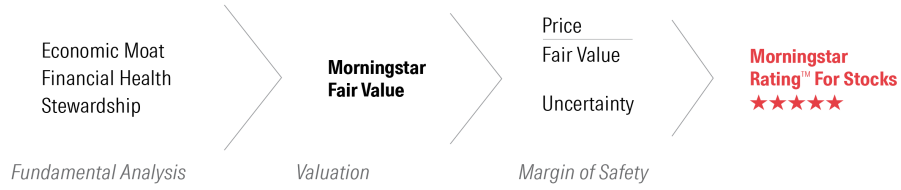
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

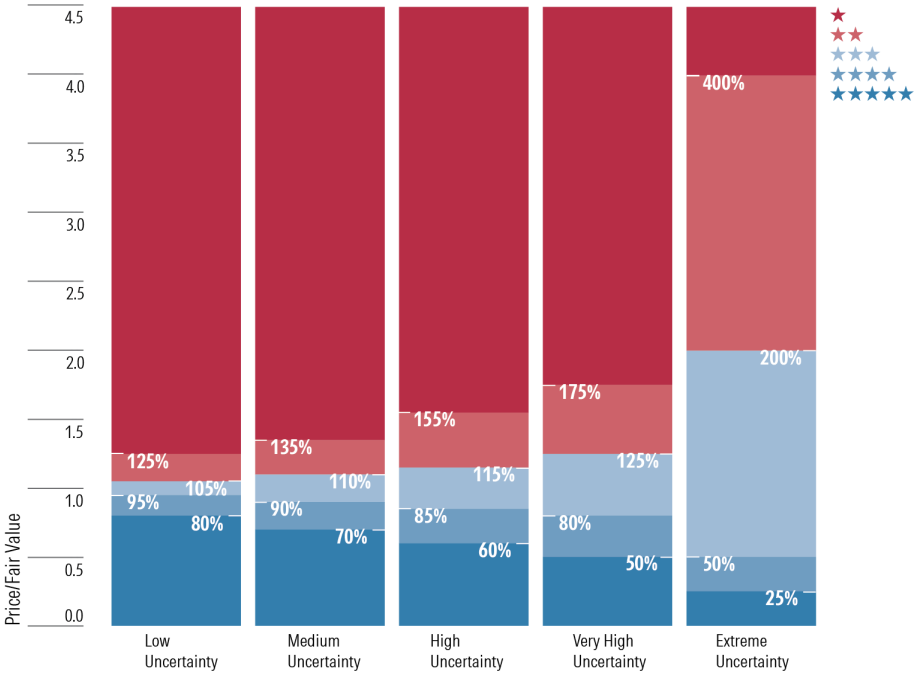
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

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